

Risk Management Policy

Owner: Compliance | Version: 3.0-rag | Effective date: 2026-04-20

Document type	Synthetic policy manual
Use case	RAG training, retrieval benchmarking, QA evaluation
Chunking guidance	Use one chunk per section and preserve section IDs

1. Purpose and Scope

Risk Management Policy describes the formal policy requirements and operating procedures used by Northstar Analytics Ltd.. It is written as a synthetic but realistic document for training retrieval, summarization, and question-answering systems.

This document applies to all employees, interns, temporary workers, and approved contractors unless a section explicitly states otherwise.

Managers are responsible for enforcing this policy consistently and for escalating unusual cases to the document owner.

2. Roles and Responsibilities

Employees must read, understand, and follow the policy requirements relevant to their role.

Managers must document exceptions in writing and retain approvals in the designated system of record.

The document owner reviews this policy at least annually and whenever business, legal, or technical requirements materially change.

3. Risk Register

The section on risk register defines the standard rule, the approval path, and the records that must be retained.

Requests related to risk register should be submitted through the official workflow rather than handled informally through chat or email alone.

When a manager grants an exception for risk register, the exception must include the reason, the duration, and any compensating controls.

Records related to risk register must be stored in the designated repository with a clear owner and retention period.

Metrics related to risk register should be reviewed periodically to identify recurring issues and opportunities for improvement.

4. Risk Scoring

The section on risk scoring defines the standard rule, the approval path, and the records that must be retained.

Requests related to risk scoring should be submitted through the official workflow rather than handled informally through chat or email alone.

When a manager grants an exception for risk scoring, the exception must include the reason, the duration, and any compensating controls.

Risks are scored on a 1 to 5 scale for likelihood and impact, and inherent risk is calculated by multiplying the two values.

Any risk with an inherent score of 15 or higher must be reviewed by the executive risk committee.

5. Control Owners

The section on control owners defines the standard rule, the approval path, and the records that must be retained.

Requests related to control owners should be submitted through the official workflow rather than handled informally through chat or email alone.

When a manager grants an exception for control owners, the exception must include the reason, the duration, and any compensating controls.

Records related to control owners must be stored in the designated repository with a clear owner and retention period.

Metrics related to control owners should be reviewed periodically to identify recurring issues and opportunities for improvement.

6. Review Cadence

The section on review cadence defines the standard rule, the approval path, and the records that must be retained.

Requests related to review cadence should be submitted through the official workflow rather than handled informally through chat or email alone.

When a manager grants an exception for review cadence, the exception must include the reason, the duration, and any compensating controls.

The enterprise risk register is reviewed quarterly, and high-rated risks may be reviewed more frequently.

Control owners must update status notes before each review meeting.

7. Escalation Thresholds

The section on escalation thresholds defines the standard rule, the approval path, and the records that must be retained.

Requests related to escalation thresholds should be submitted through the official workflow rather than handled informally through chat or email alone.

When a manager grants an exception for escalation thresholds, the exception must include the reason, the duration, and any compensating controls.

Records related to escalation thresholds must be stored in the designated repository with a clear owner and retention period.

Metrics related to escalation thresholds should be reviewed periodically to identify recurring issues and opportunities for improvement.

8. Exceptions and Escalations

Exceptions must be rare, time-bound, and approved by the designated authority named in the relevant section.

All exceptions must be logged with the approver, rationale, expiration date, and any required follow-up actions.

9. Document Control

Document owner: Risk Management Policy owner

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Review frequency: annual or upon material change